SWEDEN

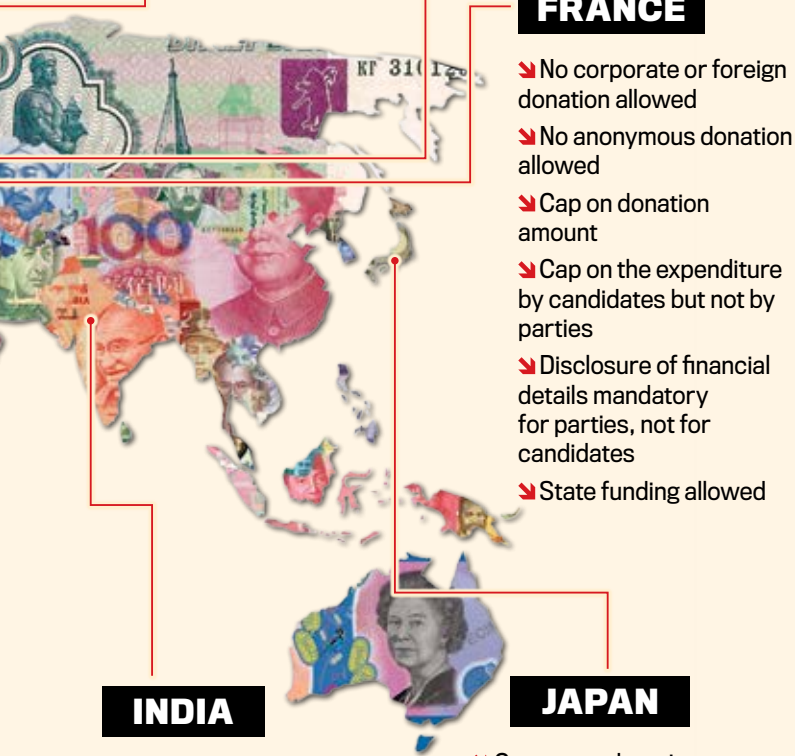
- Corporate donation allowed, but foreign donation not allowed
- Anonymous donation allowed
- No cap on donation amount
- No cap on the expenditure by parties and candidates
- Disclosure of financial details mandatory for parties but not for candidates
- State funding allowed

GERMANY

- Corporate and foreign donation allowed
- No anonymous donation allowed
- No cap on donation amount
- No cap on the expenditure by parties and candidates
- Disclosure of financial details mandatory for parties, not for candidates
- State funding allowed

FRANCE

- No corporate or foreign donation allowed
- No anonymous donation allowed
- Cap on donation amount
- Cap on the expenditure by candidates but not by parties
- Disclosure of financial details mandatory for parties, not for candidates
- State funding allowed



INDIA

- Corporate donation allowed; Indian subsidiary of foreign companies can donate
- Cap on cash donation
- Cap on corporate donation amount
- Cap on candidates' expenditure; no cap on parties
- Disclosure of financial details mandatory for parties and candidates
- No provision for state funding

JAPAN

- Corporate donation allowed for parties, not for candidates; foreign donation not allowed
- Cap on anonymous donation
- Cap on donation
- Cap on the expenditure by candidates; no cap on parties
- Disclosure of financial details mandatory for parties, not for candidates
- Cap on donation amount
- State funding allowed

14 of the Constitution, the bench remarked.

Most experts concur that one cannot expect transparency in India as long as the provision of anonymous cash donation remains, however low the limit is. Professor Jagdeep Chhokar, founder member of ADR, says that the simplest and only way to make political funding clean is to stop cash payment to political parties. "Everything has to be through the digital mode of payment. The prime minister has been advocating cashless payments. Why exclude political parties?" asks Chhokar.

Most countries across the world have been struggling to strike a balance between transparency, which requires disclosure of the source of funds, and anonymity, which is required to protect donors from political retribution. One of the arguments in favour of electoral bonds was that the anonymity clause safeguarded against political coercion and retribution. In several countries, small donors are allowed to stay anonymous while large donations are required to be made public. In the UK, for instance, a party needs to report donations received from a single source amounting to a total of more than £7,500 (nearly Rs 8 lakh) in a calendar year. In Germany, it's €10,000 (approx. Rs 9 lakh) for a party.

THE RISE OF DARK MONEY

The US experience is a serious reminder of why there should be a cap on the inflow of corporate funds, directly or indirectly. Political funding in the US has been witnessing a massive surge in "dark money"—anonymous political contributions—since 2010 when the Supreme Court declared the statute prohibiting the use of corporate money in elections as unconstitutional. Social welfare organisations and super political action committees (PACs, tax-exempt organisations that raise money privately to influence elections or legislation) have become major sources of "dark money" in federal campaigns as the donor identity often remains vague and outside public scrutiny.

Political funding in the US happens at the federal, state and local levels. Individuals, PACs and the government can contribute directly to electoral campaigns. PACs, in turn, can contribute funds directly to candidates and campaign committees. They can receive contributions of up to $5,000 per year from individual donors and give up to $5,000 to a candidate and $15,000 to a party committee per election. PACs can also make what is called 'independent expenditure'—unlimited expenditure independent of a party or candidate. Campaign finance law at the federal level requires candidate committees, party committees and PACs to file periodic reports disclosing the money they raise and spend. The Federal Election Commission maintains this database and publishes the information about campaigns and donors on its website. However, such disclosures do not always